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Market Briefs Pro

Read Less News

Good morning, Pro Briefers!

In late 2025 and early 2026, shares of cybersecurity stocks started to dip.

What happened? AI companies like Anthropic and OpenAI rolled out new features that let users code, potentially making software companies obsolete.

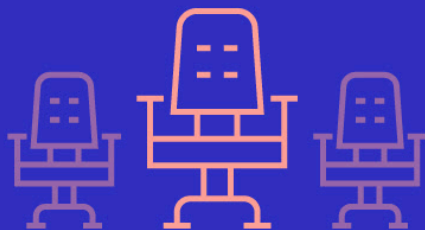
Wall Street is worried that these AI companies may completely replace software developers and software companies in the future.

But while the market was selling cybersecurity stocks, these companies were still recording solid revenue and acquiring new customers.

This led our analysts to dig deeper into this Main Street Shift - and they spotted something the market may have missed.

AI doesn't reduce the need for cybersecurity.

Unfilled Cybersecurity Roles Have Grown 350% in Eight Years



The number of unfilled cybersecurity roles increased by 350% globally in just eight years

The global cybersecurity workforce is estimated at 4.7million – an 11.1% increase since 2021

4.7M

The cybersecurity



Data *via* Vervoe

In fact, **it multiplies it.**

Every new AI tool a company deploys is a new thing that needs to be protected.

Every AI agent is a new identity to verify.

More AI agents means more cybersecurity risks - they can impersonate humans and make hacking easier.

Budgets for companies using cybersecurity services are also unique as well.

The person running security at a company doesn't get a budget cut when times get tough - they get fired if something goes wrong.

In short: Companies pay for cybersecurity no matter what.

We've covered cybersecurity stocks multiple times in previous reports and believe the thesis for cybersecurity companies is actually strengthened by AI's growth, not weakened by it.

More AI = more clients for cybersecurity companies, which may lead to increased revenue.

But today, there's a gap - the majority of Wall Street is overlooking cybersecurity companies right now, which may create a buying opportunity for savvy investors.

So here's the thesis:

"This current dip is a great buying opportunity for those who did not get in on cybersecurity when share prices were lower than usual in 2025." - Briefs Finance, Head of Investment Research

That gap is what we want to focus on this week.

Let's break down our updated ratings for some select cybersecurity companies and what new opportunities we've spotted in the cybersecurity industry that could help investors to profit in the long-term.

ANALYST TAKE

Tickers we're tracking:

Our buy ratings: CRWD, PANW, ZS, RBRK

Our hold ratings: CSCO

What we're adding: FTNT

OUR BUY RATINGS

What We're Rating A Buy

CrowdStrike (CRWD) - Buy

CrowdStrike's 2025 involved a comeback most of the market did not anticipate.

Flashback: In July 2024, a faulty CrowdStrike update crashed 8.5 million computers worldwide.

As a result, the stock lost more than a third of its value overnight.

Flashforward: CrowdStrike rose over 30% in 2025, outpacing the S&P 500.

Annual recurring revenue (ARR), or the subscription money the company collects each year, hit \$5.25 billion, up 24%.

It became the first pure-play cybersecurity company to ever reach that milestone.

- Net new ARR crossed \$1 billion for the first time in 2025.

Why the growth? Finding a new cybersecurity company is not easy for a company once it's fully integrated into its business.



Data [via](#) Briefs Terminal

The more tools a customer adds, the harder it is to leave. That fact alone has enticed many of CrowdStrike's customers to adopt more of its tools.

- Nearly half of its paying customers now use 6 or more of its tools together.

Ultimately, this creates revenue that sticks for CrowdStrike, especially as more companies are adopting AI.

What to watch: Investors are currently paying a pretty high premium for CrowdStrike, as its P/E ratio is 111 as of March 12, 2026.

Any guidance miss could cause a sharp drop - and its Delta Air Lines lawsuit from the 2024 outage is also still unresolved.

Palo Alto Networks (PANW) - Buy

In our previous report, we also identified Palo Alto Networks as a potential opportunity.

Here's where it stands: Palo Alto is down roughly 25% from its late 2025 peak.

And besides general market volatility, there's one big reason why.

The company spent around \$28 billion acquiring two companies to expand its platform.

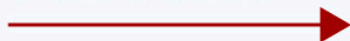
That spending reduced short-term profits, forcing a cut to earnings guidance.

Lower guidance may have scared off many investors, with fears of AI one day taking over software as we know it, amplifying those losses.

But the business has kept moving.

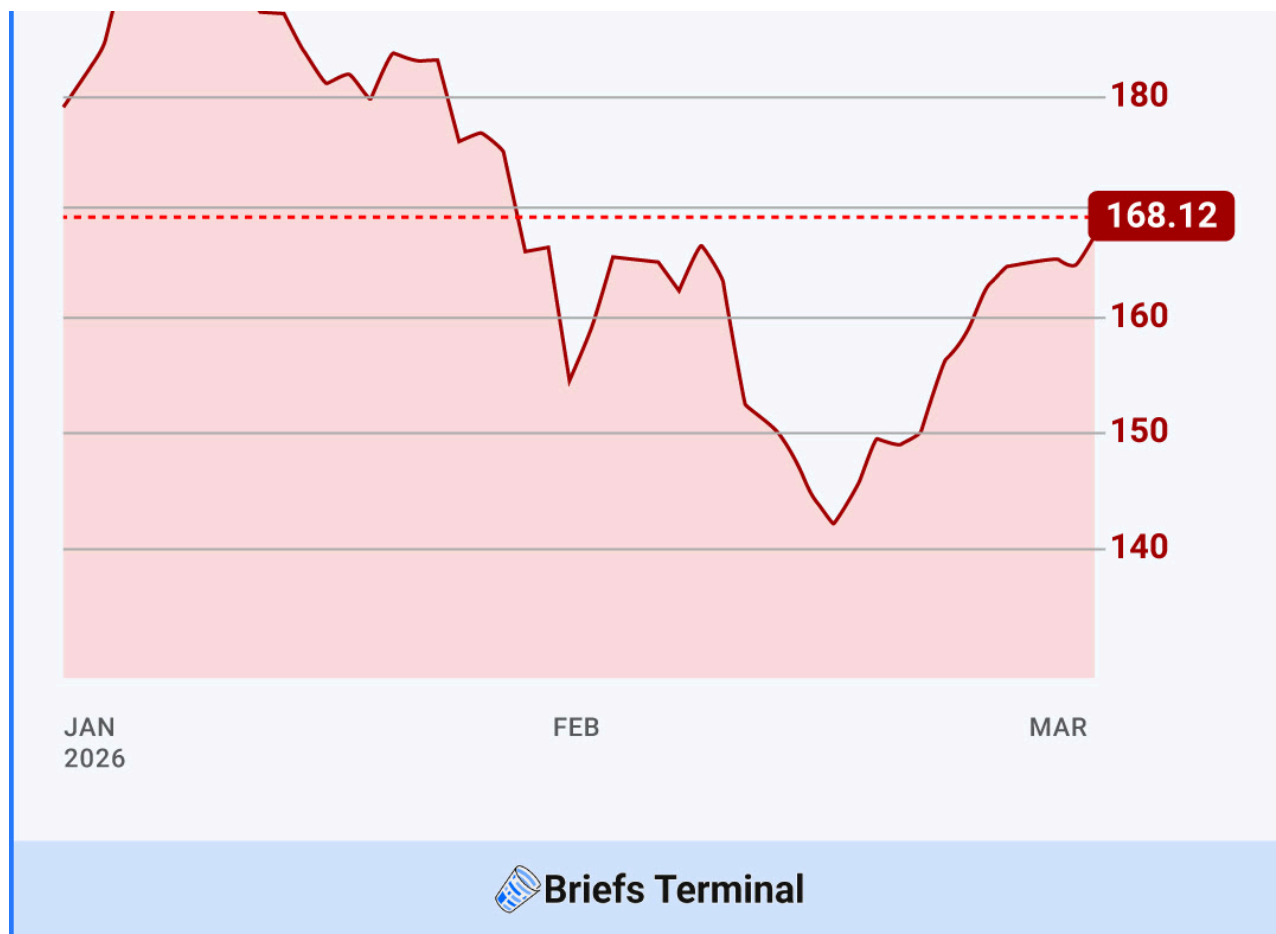
Palo Alto Networks, Inc. (PANW)

YTD Price



\$168.12
(-8.73%)





Data [via](#) Briefs Terminal

- Revenue grew 15% year-over-year.
- Next-gen security revenue, which includes AI integrations, grew 33%.

And the company has \$16 billion in future revenue already under contract - money that's locked in regardless of near-term noise.

What to watch: its next earnings call is coming up on May 26th, 2026.

Investors want proof customers are actively using the new tools from those acquisitions.

If they are, the case gets stronger - if not, investors may start to rethink this opportunity.

Zscaler (ZS) - Buy

Next up, we have Zscaler.

Here's how its 2025 ended:

- Revenue up 26%.
- ARR up 25%

Full-year 2025:

- Full-year guidance raised.

And yet - the stock is down more than 55% from its 52-week high set on November 2nd, 2025.

Two things spooked investors:

1. It reported sending fewer invoices to customers than Wall Street had predicted. That means less future revenue.
2. It made a couple acquisitions totaling \$692 million that raised questions about whether growth is organic or acquired.



JAN
2026

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MAR

Briefs Terminal

Data *via* Briefs Terminal

The core product is Zscaler's Zero Trust Exchange - a secure digital checkpoint where all company traffic runs through a protected gateway before reaching its destination.

- 45% of Fortune 500 companies run on it.

These are big firms that can continue making steady payments to Zscaler, which gives them a revenue floor the company can then build on.

What to watch: Its earnings are on May 28th, 2026.

Investors will want to see organic net ARR - new revenue from Zscaler's own sales, not from acquisitions.

If that number looks clean, this is one of the better entry points the stock has seen.

Rubrik (RBRK) - Buy

Rubrik bakes security directly into data backup and recovery - so when ransomware hits and hackers try to destroy backups, the data stays protected.

- Subscription ARR grew 34%.
- Revenue jumped 48%.
- Gross margins above 80%.

Rubrik has not been profitable, until recently.

- Rubrik posted its second straight quarter with a positive EPS on March 12th, 2026.

That's a promising sign during an industry dip for cybersecurity.

Rubrik is doing a lot of exciting things in the cybersecurity space, and it will need to continue in order to support the current share price.

But for investors interested in Rubrik, its current situation may create a strong case to buy.

OUR HOLD RATINGS

What We're Holding

Next, let's briefly discuss what we're holding right now:

Cisco (CSCO) - Hold

Cisco has several longstanding partnerships with major firms in the AI, finance, and cloud computing space.

- Around 85% of its revenue comes from around 62,000 firms worldwide.

That's a lot of companies utilizing its products every day - which gives it some diversification of revenue.

But it's not a pure-play, as it has several products related to networking gear like routers, modems, etc.

Plus, the dedicated players in this report are growing faster.

For now, we're holding, as it's currently up just over 2% in 2026 - which means it's outpacing the S&P 500, despite global volatility.

We're not adding, as other names in this report are doing more in cybersecurity right now, but there's no reason to sell, either.

WHAT WE'RE ADDING

One New Opportunity

While CrowdStrike was managing a crisis and Palo Alto was spending billions on acquisitions, Fortinet (FTNT) was just building.

What does it do? Fortinet controls 55% of the global firewall market - a firewall being the digital barrier between a company's internal network and the outside internet.

That market share gives it a massive base to sell newer products to.

One of its newer products is SASE - Secure Access Service Edge.

This is cybersecurity built for companies where employees work from anywhere, not just an office.

- SASE billings grew 40% last quarter and large deals of \$1 million or more grew over 30%.

In March 2026, **Fortinet** released a major update to its security software called FortiOS 8.0.

Fortinet Holds 50%+ of Global Firewall Market Share

The Only Purpose-Built Proprietary ASIC for Secure Computing

FortiASIC accelerates FortiOS functions-supports 2x more applications than the previous generation



Content Processor 9



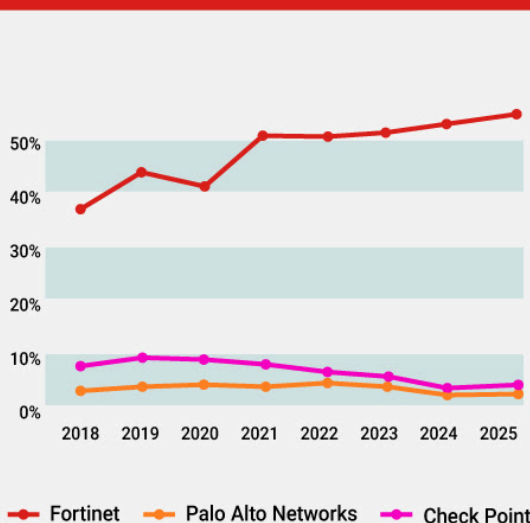
Network Processor 7



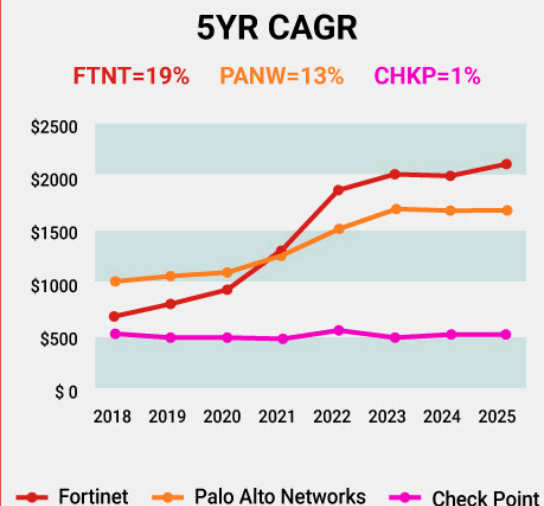
Security Processor 7

Fortinet's purpose-built ASICs radically increase the speed, scale, efficiency, and value of our cybersecurity solutions.

Firewall Units Shipped



Product Revenue



Data [via](#) Fortinet investor presentation

It comes with two key upgrades:

- **AI-driven security controls** - The system now uses artificial intelligence to automatically detect and respond to threats, rather than relying solely on manual rules.
- **Post-quantum cryptography** - This is encryption built to withstand attacks from quantum computers, which are powerful next-generation machines that could potentially crack today's standard encryption.

Basically, it's future-proofing their security so that even if quantum computers become widely available, the data they protect stays safe.

In short: Fortinet upgraded its software to be smarter with AI and more resistant to future technology that could break current encryption methods.

Fortinet's SD-WAN Delivers 65% Less Network Disruption and 300% ROI

The Most Deployed and Most Validated Secure SD-WAN Solution

How Fortinet delivers

More Secure and Reliable



Only vendor to build and run NGFW and SD-WAN integrated natively on a single OS and one appliance

Reduce Cost

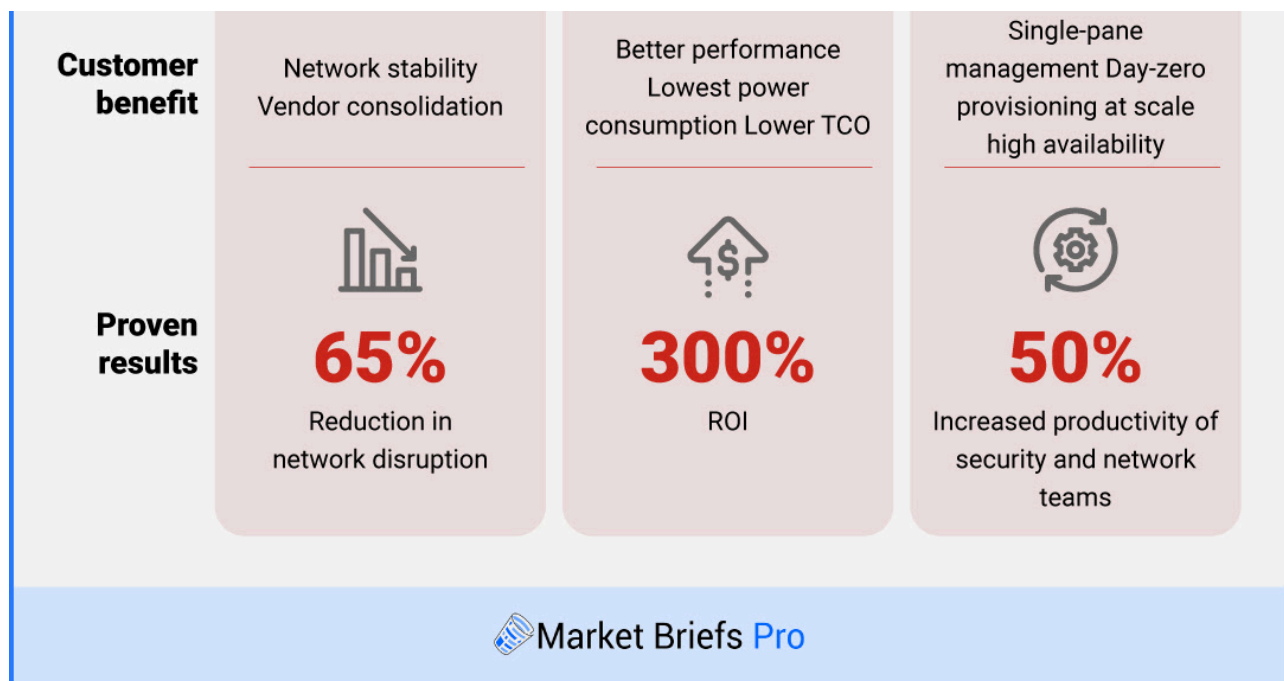


Only vendor with an ASIC to accelerate Secure SD-WAN functions with no license

Simplified Operations



Only Vendor to provide centralized policy management and autonomous architecture



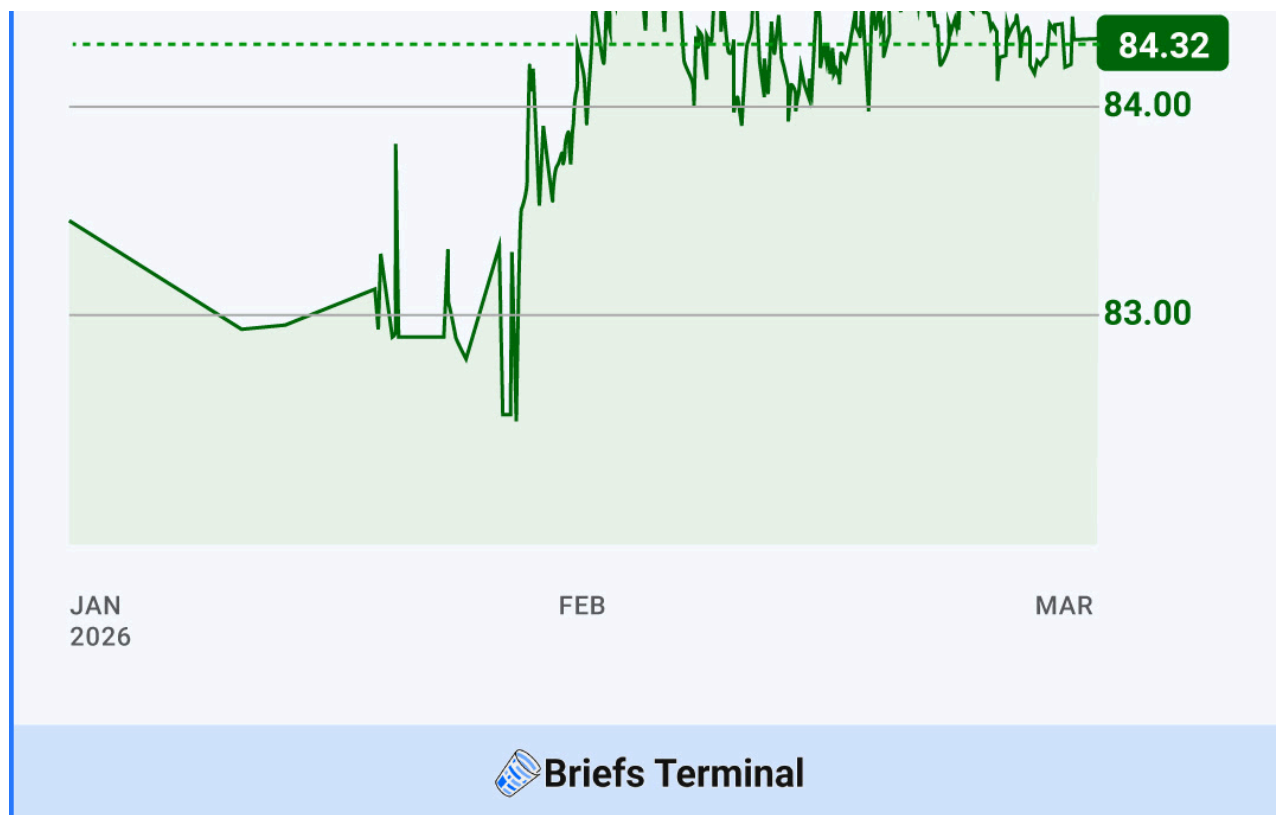
Data [via](#) Fortinet investor presentation

In 2025, its revenue grew by 14% to reach \$6.8 billion and it now has over \$2 billion in free cash flow to grow the business, or make a big acquisition.

Its guidance for this year? It plans to earn around \$8.5 billion from invoices, which would be an all-time record.

What to watch: Fortinet still depends on physical firewall hardware.





Data [via](#) Briefs Terminal

If businesses shift to cloud-only security faster than expected, that hardware dependency could become an issue.

Still, investors looking to take advantage of this opportunity in cybersecurity may want to keep Fortinet in mind for the longer-term.

RISKS

How This Shift Could Change

The push to become a one-stop security platform is great for winners - but a bad acquisition or a product that fails to deliver can send customers elsewhere fast.

Microsoft is the competitor nobody talks about.

It generated an estimated \$37 billion in cybersecurity revenue last fiscal year.

For context, that is almost double the combined revenue of every company in this report.

Most of that revenue is from bundling security into software packages companies already
have

Plus, while AI helps businesses, it also could hurt them.

Cybersecurity companies use AI to find threats faster, but hackers use the same tools to attack faster - and using AI agents also makes hacking cheaper.

- Zscaler's own research found that 100% of enterprise AI systems tested had critical vulnerabilities, with a median time to exploit of just 16 minutes.

Imagine if your bank account was open to a hacker for 16 minutes - that's a big deal.

Lastly, these stocks aren't cheap.

Even after selling off, CrowdStrike and its peers carry premium valuations.

Future guidance will be a big deal for all of these companies, to show how they're using their product, who their customers are, and how AI is impacting them.

Navigating these challenges is not an easy task - and high valuations mean the investors that are still buying in expect a lot.

But there's no guarantee they will deliver, so investors who are interested in this shift should keep that in mind before investing.

REVIEW

Where Cybersecurity Is Headed Next

Cybersecurity spent most of 2025 priced like it was in decline.

But what businesses are actually earning tells a completely different story.

The same force driving AI adoption - more infrastructure, more data, more digital surface area - is what keeps demand for security growing.

- Gartner estimated cybersecurity spending hit \$212 billion in 2025.

That number is not going down.

50–75% of Companies Will Adopt

Data Governance Strategies by 2030

Data Sovereignty Strategies by 2030

The Need for Sovereignty Is growing



Data via Gartner

But, companies have to prove they can actually deliver - otherwise, investors will jump ship to AI companies promising they can do everything a typical software company can, but for less money.

Whether they can or not is yet to be seen.

Regardless, the companies capturing a growing share of that spend may be worth taking a look at in the short-term, as investors may be mispricing the industry's potential in 2026.



- Market Briefs Pro Team

*The Market Briefs Pro team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.